1) Relationship of human psychology to behaviour in financial markets

Relating human psychology and behaviour to financial markets, which we often undermine the impact of, is **how much human behavior and sentiment drive prices in the short term, even when fundamentals are unchanged**. Main focus is on earnings reports, economic indicators, or valuation ratios, but subtle shifts in psychology—fear, optimism, or herd behavior—can create dramatic moves that "make no sense" if you're only looking at fundamentals.

Micro-patterns in order flow - clustering of small trades or large institutional orders sent as an iceberg orders hints at market sentiment before headlines react.
Liquidity shifts – changes in bid-ask spread, volume concentration before big price swings.
Language cues – the delivery tone from key personnel i.e. POTUS, central bank and the emotional weight and framing of message.

Markets are thus perhaps a reflection of collective human psychology, where cues are hidden in behaviour than financial statements.

2) Thoughts on a rabbit hole in financial markets, venturing into the depths of: Market microstructure & HFT

One example of a rabbit hole was the world of **market microstructure and high-frequency trading** —essentially, the hidden mechanics of how trades actually happen on exchanges. On surface, stock prices are ticking up and down, but there's an entire ecosystem underneath: technology and infrastructure, dark pools, algorithmic arbitrage, and order-book dynamics.

I started by reading about **limit order books**—the queuing of bid and ask prices, how liquidity is distributed, and how big players can subtly move markets while minimizing **market impact**. Then I dove into **latency arbitrage**, where firms exploit microsecond differences in data feeds across exchanges.

Got immersed in my exploratory train of thought, hovering around high-frequency trading along with fleeting thoughts of simulating simple trading strategies to see how they would interact with larger market forces. An example could be **how a single aggressive order can ripple through multiple exchanges in milliseconds –** hitting the opposite side's order book before the other trader(s) even notices. **Depth of rabbit hole** didn't progress on beyond reading (for now) as realism of life hit me.

The rabbit hole shifted how I think about market behaviour, technology and linkage to human psychology. Even when fundamentals are strong, **microstructure, technological stack and psychology can dominate short-term price moves.**

3) Thoughts on the efficient market hypothesis – debunking!

Recalling the time when I used to believe that **markets are rational and stock prices fully reflect all available information – efficient market hypothesis**. I assumed strong fundamentals were all - if a company's earnings, growth prospects, and macro environment were strong, its stock would eventually reflect that in price, and any deviation was temporary "noise."

The thinking was overridden after observing several episodes where **sentiment, narratives, and structural quirks completely overrode fundamentals**:

- Companies with shaky financials surged due to of retail enthusiasm (meme stock craze). Fundamentals were irrelevant for weeks yet opportunists grabbing at the pie.
- During certain earnings cycles, a company could beat revenue and profit expectations yet drop sharply because market **expectations and positioning** were misaligned.
- Structural factors like **short interest, option gamma, or liquidity crunches** caused huge price swings independent of fundamentals.

The flaw in my thinking wasn't that fundamentals don't matter— they definitely do, but **short- and medium-term markets are more about human psychology, positioning, and mechanics than intrinsic value**. After that, I started analyzing markets on **two layers**: fundamentals for long-term investing, and micro-structure plus sentiment for timing and volatility.

4) EMH vs Momentum Effect

A recurring pattern in my own decision-making is **anchoring the last performance to recent outcomes**—basically letting the last gain or loss strongly impact how I evaluate the next trade.

- If a stock I picked recently went up, I'm tempted to **overweight my confidence** in the next trade
- If a position lost money, I might **hesitate to act**, even if the probability setup was optimal
- Sometimes I **chase narratives** that feel emotionally satisfying—like wanting to prove I was right or "revenge-trade"—rather than sticking strictly to pre-written rules or edge.

I've learned to watch out for this by setting strict rules and signals: Review and log every trade or decision with the reasoning behind it, and before acting again, I check whether I'm being swayed by emotions - recent wins, losses, or headlines rather than by the underlying factors. It doesn't eliminate the bias, but it gives me a 2nd review option.

Past performance is not an indicator of future performance, historical returns do not gurantee future results. Market volatility, changing economic conditions, and shifts in management or strategy can alter performance. I had to digest this, and broaden my thinking to do better.